

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

SECTION A: GENERAL DISCLOSURE

I. Details of the Listed Entity

1	Corporate Identity Number (CIN) of the Listed Entity	L24230GJ1995PLC025878
2	Name of the Listed Entity	Zydus Lifesciences Limited
3	Year of incorporation	1995
4	Registered office address	"Zydus Corporate Park", Scheme No. 63, Survey No. 536, Near Vaishnodevi Circle, Khoraj (Gandhinagar), Sarkhej-Gandhinagar Highway, Ahmedabad-382481
5	Corporate address	"Zydus Corporate Park", Scheme No. 63, Survey No. 536, Near Vaishnodevi Circle, Khoraj (Gandhinagar), Sarkhej-Gandhinagar Highway, Ahmedabad-382481
6	E-mail	dhavalsoni@zyduslife.com
7	Telephone	+917948040000, +917971800000
8	Website	www.zyduslife.com
9	Financial year for which reporting is being done	2024-25
10	Name of the Stock Exchange(s) where shares are listed	BSE and NSE
11	Paid-up Capital	₹ 1,006.23 Million
12	Name of the Person	Mr. Vishal J. Gor
	Telephone	+917948040235
	Email address	vishalgor@zyduslife.com
13	Type of Reporting	Consolidated Basis, unless stated otherwise in the report
14	Name of assurance provider	M/s Intertek India Private Limited
15	Type of assurance obtained	Reasonable assurance

II. PRODUCTS / SERVICES

16. Details of business activities

S. No.	Description of Main Activity	Description of Business Activity	% Turnover of the Entity
1	Pharmaceuticals	Research and development, manufacturing, marketing, and distribution of pharmaceutical products, including active pharmaceutical ingredients (APIs) and finished dosage formulations	88.39
2	Consumer Wellness	Research and development, manufacturing, marketing and distribution of consumer health and wellness products	11.61

17. Products / Services sold by the entity:

Sl. No.	Product/Service	NIC Code	% of Total Turnover contributed
(i)	Formulation (including Biologics)	Group 210 Class 2100	85.57%
(ii)	APIs	Group 210 Class 2100	2.82%
(iii)	Sweetener	10729	11.61%
(iv)	Nutritional drink	10509	
(v)	Glucose powder	10623	
(vi)	Table spread	10504	
(vii)	Skincare products	20237	100%
(viii)	Total Revenues %		

III. OPERATIONS**18. Number of locations where plants and/or operations/offices of the entity are situated:**

Location	Number of Plants	No. of Offices	Total
National	36	*20	56
International	03	37	40

*Includes R&D Centre

19. Market served by the entity

	Locations	Numbers
a) No. of Locations	National (No. of States)	Pan India
	International (No. of Countries)	81 countries
b) What is the contribution of exports as a percentage of the total turnover of the entity?	58.10%*	
c) A brief on types of customers	The company promotes products intended for patients and/or end users through a network of distributors and provides them to institutional clients, including private and government hospitals. The company exports its products to various international customers via its subsidiaries and other distributor partners. The company provides Active Pharmaceutical Ingredients (APIs) to other pharmaceutical companies for their use in formulations business (B2B). Additionally, the company engages in contract manufacturing for various pharmaceutical companies.	

*Exports from India

IV. EMPLOYEES**20. Details as at the end of Financial Year:****(a) Employees and workers (including differently abled):**

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees (including differently abled)						
Employees						
1	Permanent Employees (A)	23283	21316	92%	1967	8%
2	Other than Permanent Employees (B)	47	35	74%	12	26%
3	Total Employees (A+B)	23330	21351	92%	1979	8%

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Worker (including differently abled)						
Workers						
4	Permanent Workers (E)	4634	4381	95%	253	5%
5	Other than Permanent Workers (F)	5533	4734	86%	799	14%
6	Total Workers (E+F)	10167	9115	90%	1052	10%

(b) Details as at the end of Financial Year – Differently-abled employees and workers

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees						
1	Permanent Employees (A)	67	62	92%	5	7.46%
2	Other than Permanent Employees (B)	0	0	0%	0	0%
3	Total Employees (A+B)	67	62	92%	5	7.46%
Workers						
4	Permanent Workers (E)	0	0	0%	0	0%
5	Other than Permanent Workers (F)	13	11	85%	2	15.3%
6	Total Workers (E+F)	13	11	85%	2	15.3%

21. Participation/Inclusion/Representation of women:

Sl. No.	Category	Total (A)	No. and % of females	
			No. (B)	% (B/A)
1	Board of Directors	9	2	22%
2	Key Management Personnel	4	0	0%

22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

Category	FY 2024-2025 (Turnover rate in current FY)			FY 2023-2024 (Turnover rate in previous FY)			FY 2022-2023 (Turnover rate in the year prior to previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	19.59%	19.93%	19.62%	20.11%	21.71%	20.30%	22.10%	23.51%	22.33%
Permanent Workers	25.22%	7.51%	24.26%	18.80%	14.21%	18.63%	25.62%	13.61%	23.90%

V. HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES (INCLUDING JOINT VENTURES)

- 23. (a) Names of holding / subsidiary / associate companies / joint ventures:** The details of holding / subsidiary / associate / joint venture companies are given in Form No. AOC-1, on Page No. 443 of annual report.

Does the entity indicated in above form, participate in the Business Responsibility initiatives of the listed entity? (Yes/No) Yes, all the entities, wherever applicable, participate in the relevant Business Responsibility initiatives of the company, except the associate companies and joint venture companies.

VI. CSR DETAILS

24. Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

Turnover (in INR) 145,901,000,000*

Net worth (in INR) 211,901,000,000

*For standalone operation of Zydus Lifesciences Limited

Note: Provisions of CSR are applicable to Zydus Lifesciences Limited, Zydus Healthcare Limited, Zydus Wellness Limited, Zydus Animal Health and Investments Limited, German Remedies Pharmaceuticals Private Limited, Zydus Hospira Oncology Private Limited and Zydus Takeda Healthcare Private Limited

VII. TRANSPARENCY AND DISCLOSURES COMPLIANCES

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	If yes, then provide web-link for grievance redress policy	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
			Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	a. https://www.zyduslife.com/adverse_event_reporting/	0	0		0	0	
Investors (other than shareholders)	Yes	b. https://www.zyduslife.com/public/pdf/companypolicy/Whistle-Blower-Policy.pdf	0	0		0	0	
Shareholders	Yes	c. https://www.zyduslife.com/public/pdf/companypolicy/Code-of-Business-Conduct-and-Ethics.pdf	23	0		36	0	
Employees and workers	Yes	d. https://www.zyduslife.com/public/pdf/companypolicy/Human-Rights-Policy.pdf	39	0		25	0	
Value Chain Partners	Yes	e. The internal policies are available at the intranet portal of the organization for its employees.	0	0		0	0	
Customers	Yes		1567	0		1206	0	
Other (please specify)			927	0		452	0	Complaints related to Packaging, Quality etc.

26. Overview of the entity's material responsible business conduct issues

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Climate Change (GHG Emissions)	Risk	- Climate changes, especially the extreme weather events and rising global temperatures caused by Green House Gas (GHG) emissions and failure to adapt and mitigate such changes are among the major risks being faced world over and they also pose a major risk on the sustainability of businesses across the globe. - Climate adaptation and resilience are important in building a future-ready and sustainable organization. They can also help reduce operational costs and drive greater efficiencies for the business.	- Generation of solar power at manufacturing locations - Improving energy efficiency / operational efficiency of energy consuming equipment to reduce energy consumption - Increase in utilization of bio fuel / hybrid fuel to minimize the dependency on conventional fuel i.e. coal/ diesel etc. - Increase in procurement of solar- wind hybrid power	Negative
2.	Waste Management	Risk	- Inefficient management of waste is a risk to a business because of the hazard it could pose to the relevant stakeholders. - Generation of increasing waste also impacts the environment and its management becomes a challenge.	- Disposal of waste in a responsible manner - Complying with applicable regulations for waste generation and disposal - More emphasis on reduction of waste generation - Increase in waste disposal via eco-friendly pro processing and co-processing	Negative
3.	Water Management	Risk	- Water is a shared resource, making it important for businesses to use it responsibly. Ensuring responsible consumption is key to socially sustainable business practices. - Applicable regulations for reuse and recycle of treated water are stringent	- Adopting Zero Liquid Discharge (ZLD) approach to recycle, reuse water resources and reduce fresh intake of water. - Use of water efficient technologies - Implementing efforts to achieve water neutrality - Sensitizing internal and external stakeholders to reduce water consumption.	Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Corporate Governance and Ethics	Risk	• Zydus is a global life sciences company which engages with many stakeholders. • The Company strongly believes that breach of ethics or integrity can deteriorate the Company's goodwill, which will result in loss of reputation.	• Adopting a zero-tolerance policy for breach of ethics and integrity. • Adopting Code of Business Ethics and Conduct which is applicable to the Directors and employees of the Company. • The Code encourages honesty, trust, accountability and transparency. • Orientation on Code of Business Conduct and Ethics to all new joiners for adherence it in spirit and deed.	Negative
5.	Human Capital and Welfare	Opportunity	• Employee retention is critical to any organization because skill-based and knowledgeable human capital is an asset and is required to achieve the long-term sustainability and growth of the organization.		Positive
6.	Community Engagement	Opportunity	• Community engagement helps organization in making meaningful interventions to bring significant benefits to large sections of the society, which aids sustainable growth of the business.		Positive
7.	Anti-Bribery and Corruption	Risk	• Operations in multiple locations across the globe with diversified manpower may pose challenges with respect to resorting to corrupt practices leading to financial loss.	• Adopting a comprehensive Code of Business Ethics and Conduct policy which is applicable to the directors and employees of the Company. • Organization-wide awareness on anti-bribery and anti-corruption policy and consequences of its violation.	Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
8.	R&D and Innovation	Risk	- Access control, archival and retrieval of R&D data is absolutely critical since any leakage of such data can lead to substantial loss of future opportunities. - Tenure of scientific pool / knowledge transfer is critical especially when working on complex dosage forms / technologies.	- Digital storage of project specific information with clearly defined access control. - Management of issuance of lab notebook and their physical archival is managed and supervised by a dedicated documentation cell. - Implementation of Good Laboratory Practices (GLP) documentation wherever required. - Continued association of the leadership team -. Majority of the senior leadership team at technology centers are associated with Zydus for more than a decade	Negative
9.	Responsible Marketing, Selling Practices and Product Labelling	Risk	- Regulatory authorities have a Zero tolerance policy against unethical marketing / promotion activities and there are stringent regulations to be abided by in this regard. - Any non-compliance of such regulations can pose penal actions by such authorities and also loss of goodwill for the organization.	- Adopting policy for ethical marketing, advertising and sales practices. The policy covers/ contains the following: - Providing accurate and balanced information about the company's products and services to its customers - Provision to ensure ethical interactions with customers and healthcare professionals	Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Sustainable Supply Chain	Risk	- Supply chain partners, spread across various geographies of the globe, are responsible to ensure on-time delivery of desired quality of input materials, products, services and capital goods that are critical to the operations and are important for business continuity. - Any threat to sustainability of operations of supply chain partners could potentially disrupt the company's operations.	- Thorough evaluation process before onboarding any critical vendor, - Mandatory acceptance of Supplier code of conduct by the vendor. - Annual desk assessment of vendor based on ESG parameters - Creating multiple supplier base for critical products and services to maintain business continuity - Implementing a robust system to check all statutory compliances by the vendor - Ongoing efforts to create awareness among vendors regarding ESG parameters	Negative
11.	Product Quality and Safety	Risk	- Failure to maintain the quality standards and comply with regulations leads to regulatory actions which in turn, adversely impacts the business. - It results into suspension of supply of products and cessation of new product approvals from the concerned sites	- Establishing a robust quality management system which ensures the quality, safety and sustainable supply of products. - Implementation of Quality Risk Assessment Program to ensure regulatory and data integrity compliance. - Implementation of industry learning (regulatory learning) to avoid the recurrence of quality issues. - Review of processes / product performance, key quality indicators, risk assessment outcomes and audit findings on a regular basis in order to proactively address quality issues. - Automation in quality operations to ensure sustainable compliance and all-time audit readiness.	Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
12.	Employee health and safety	Risk as well as Opportunity	- Physical and mental health problems of the employees can have major socio-economic impact on the organization. - Also, employees are the core assets of the Company. Their safety and well-being enhance their productivity which aids in improvement of financial health of the Company.	- Zydus wellbeing covers a gamut of initiatives from annual health checkups to subsidized treatment for employees and their families at Zydus Hospitals 24X7 medical assistance with ambulance services and emergency first aid is available at all manufacturing sites. - Offering medical insurance policy for on roll employees and workers. - Extending the medical insurance policy to parents of the employees. - Added sum assured through top-up can also be availed by employees. - Zydus Cares a special initiative for pregnant women helps them right through their pregnancy with a buddy being assigned to them for all assistance. - Zydus Clubs provides opportunities to employees to come together and delve in their passion and hobbies like poetry, singing, photography, sports and fitness, dancing etc. This helps them strike the right work life balance. - Zydus "Khel Ka Mahasangram" held through the year and helps employees participate in various sports including "Cyclothons". - All protocols relating to human rights, safety, health and hygiene are strictly adhered.	

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and Management Processes										
1	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	c. Web Link of the Policies, if available	www.zyduslife.com Please refer link for policies : https://www.zyduslife.com/companypolicy								
2	Whether the entity has translated the policy into procedures. (Yes / No)	Yes								
3	Do the enlisted policies extend to your value chain partners? (Yes/No)	Supplier Code of Conduct extends to all value chain partners.								
4	Name of the national and international codes/certifications/ labels/ standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	a) ISO 14001 and ISO 45001 for majority of the manufacturing locations (P3, P4: Health and Safety for all stakeholders working in factory, P6, P9: Environment and Product Labelling) b) ISO 27001:2013 for one of the major API Units (P9: IT Security) c) Europe GMP Certificate (P2: Good Manufacturing Practice) d) EU GDP Certificate (P2: Good Distribution Practices) e) GMP certificate from State FDA f) FSSC certification to major manufacturing facilities of consumer wellness business g) Participant to the S&P Global Corporate Sustainability Assessment ("CSA") from last 03 years h) P1-P9: UN SDGs, GRI i) P6: CDP and TCFD j) P1,P2,P3,P7,P8,P9: SASB								

*UN SDGs: United Nations Sustainable Development Goals

*GRI: Global Reporting Initiative; *CDP: Carbon Disclosure Project

*TCFD: Task Force on Climate-related Financial Disclosures; *SASB: Sustainability Accounting Standards Board

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
5	Specific commitments, goals and targets set by the entity with defined timelines, if any.	Following are the sustainability commitments of the company for standalone operations: (a) Gender diversity of 12% by FY2028 (b) Carbon neutrality in operations (scope 1 and 2 emissions) by FY2035 (c) Net Water Neutrality by FY2028 (d) Waste disposal via coprocessing up 40% for the India operations by FY2026 (e) 45% reduction in GHG Intensity reduction by FY2030 with baseline of FY21-22 aligned with Intended National Determined Contributions (INDC) by Govt. of India								

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
6 Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Performance against goals in FY 2025 for standalone operations are as follows: (a) Gender Diversity of 6% in FY2025 (b) 39% renewable energy in total energy mix (c) 21% reduction specific water consumption (d) 35% waste disposal via co processing (e) ~130% % reduction in GHG Intensity achieved w.r.t the baseline								

Governance, Leadership and Oversight									
7 Statement by director responsible for the business responsibility report	Please refer Chairman message from the company's Integrated Annual Report FY2025 highlighting ESG Challenges, Targets and Achievements								
8 Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Chairman								
9 Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, CSR and ESG Committee								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board / Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action																		
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	The policies of the Company are reviewed periodically / on a need basis by department heads / directors /Board Committees / Board members, wherever applicable.																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/ No). If yes, provide name of the agency	P1	P2	P3	P4	P5	P6	P7	P8	P9
	No	No	No	No	No	Yes**	No	Yes*	No

* Name of agency: SoulAce Consulting Private Limited

The agency conducted impact assessment of Zydus' various CSR Programmes.

**EHS policy is audited by external agency during ISO14001:2018 annual surveillance and certification audit.

12. If all Principles are not covered by a policy, reasons to be stated

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the principles material to its business (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
It is planned to be done in the next financial year (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Any other reason (please specify)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.

N.A.: Not Applicable

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	02	a) Board Familiarization Programme b) Training module on all principles of BRSR and overview of Sustainable Development Goals (SDG)	100%
Key Management Personnel	01	All principles of BRSR	100%
Employees other than BODs and KMPs	247	All principles of BRSR and overview of Sustainable Development Goals (SDG), Human Rights, Safety, Health and Hygiene, Environment	100%
Workers	431	Human Rights, Safety, Health and Hygiene Environment, Skill Development	100%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format.

Type	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the case	Has an appeal been preferred? (Yes/No)
a. Monetary					
Penalty/ Fine					
Settlement			Nil		
Compounding fee					
b. Non-Monetary			Nil		

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
	NA*

*Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, the company has established an anti-bribery and anti-corruption policy in accordance with Zydus' Code of Business Conduct and Ethics (COBE), as well as other rules and regulations related to anti-bribery and anti-corruption that govern the Company. The policy emphasizes that the company has zero tolerance towards any form of bribery and corruption and upholds the highest standards of integrity and transparency in all its operations and routine business practices. The policy forms an integral component of the Business Conduct Policy and applies to all members of the Board of Directors as well

as to all full-time and part-time employees of the company, including its subsidiaries and affiliates. Additionally, all business partners are expected to adhere to the same ethical standards when engaging in business with the company or on its behalf. Please refer to <https://www.zyduslife.com/public/pdf/Business-Conduct-Policy-2022.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

Category	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Employees other than BoD and KMPs	Nil	
Workers		

6. Details of complaints with regard to conflict of interest:

Topic	FY 2024-25 (Current Financial Year)		FY 2023-24 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil			
Number of complaints received in relation to issues of Conflict of Interest of KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

None

8. Number of days of accounts payables [(Accounts payable*365) / Cost of goods/services procured] as provided in the following format:

	FY 2024-2025	FY 2023-2024
Number of days of accounts payables	66.45	69.89

9. Open-ness of business: Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties in the format provided:

Parameter	Metrics	FY 2024-2025	FY 2023-2024
Concentration of Purchases*	a. Purchases from trading houses as % of total purchases	22.32%	20.80%
	b. Number of trading houses where purchases are made from	3300+	2500+
	c. Purchases from top ten trading houses as % of total purchases from trading houses	36.81%	58.15%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	88.30%	91.50%
	b. Number of dealers / distributors to whom sales are made	15000+	13000+
	c. Sales to top ten dealers / distributors as % of total sales to dealers / distributors	40.91%	38.96%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	1.25%	1.02%
	b. Sales (Sales to related parties / Total Sales)	0.05%	0.11%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	0.00%	0.00%
	d. Investments (Investments in related parties / Total Investments made)	0.00%	10.33%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in value chain covered by the awareness programmes
15	The company encourages and conducts training and awareness sessions for its supply chain partners, covering a range of essential topics such as anti-bribery, unfair trade practices, anti-discrimination, fair treatment, anti-competition, data privacy and protection, worker health and safety protection, resource conservation and climate protection, as well as waste and emissions management. These are an integral part of Zydus's Supplier Code of Conduct.	39*

*The value chain partners comprise of vendors/suppliers providing raw materials, APIs, intermediates, excipients, packaging materials and indirect materials to the company.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/ No) If Yes, provide details of the same.

Yes, as part of its governance framework, the company adheres to the best practices for reviewing conflicts of interest among its directors. The disclosures provided by the directors are reviewed by the Board along with any potential conflicts. The Board collectively holds responsibility for all business decisions, in which any director has an interest. The Board excludes directors with a conflict of interest from participating in decision-making processes related to the concerned business transactions. Additionally, the directors and senior management members provide annual affirmations regarding conflicts of interest. The Code of Business Conduct and Ethics, which applies to the directors and senior management can be found on the company's website.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

Type	FY 2024-25	FY 2023-24	Details of improvement in social and environmental aspects
Research & Development (R&D)	100%	100%	Investments in specific technologies to improve the environmental and social impacts of products and processes
Capital Expenditure (CAPEX)	5%	3%	

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes, the company ensures that suppliers are assessed based on sustainability metrics. Prior to onboarding any vendor (supplying APIs, intermediates, excipients, packaging materials, raw materials and indirect materials), they are evaluated against ESG parameters, which encompasses aspects such as business ethics, environmental practices, and human rights.

b. If yes, what percentage of inputs were sourced sustainably?

39%* of inputs were sourced sustainably from vendors and suppliers who have established ESG practices.

*The value chain partners comprise of vendors/suppliers providing raw materials, APIs, intermediates, excipients, packaging materials and indirect materials to the company.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Product	Process to safely reclaim the product
Packaging	- As per the requirements of The Plastic Waste Management Rules 2016, the company is registered as a Brand Owner in the Extended Producer Responsibility (EPR) portal by the regulatory authorities. - Equivalent quantity of plastic material that has gone in to the domestic market (within India) is collected through authorized waste management agency for recycling and energy recovery under EPR.
E-waste	E – Waste is sent to authorized vendors/recyclers.
Hazardous Waste	Hazardous waste is sent to authorized pre – processor, co-processor, recycler, secured landfill and incinerator site for safe disposal.
Other Waste	- Non-hazardous waste is sent to registered vendors for disposal. - Bio-medical waste is sent to common bio-medical waste incineration facility authorized by the regulators for safe disposal.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.
- Yes, Extended Producer Responsibility (EPR) is applicable to the Company's activities.
 - The plastic waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to the Central Pollution Control Board.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format.

Please refer Life cycle Assessment disclosure in the Integrated Annual Report on Page No.:

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
----	-----	-----	-----	-----	-----

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

S. No.	Name of the product	Description of the risk	Action Taken
		Not Applicable	

3. Percentage of recycled or reused material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

The company, operating in the pharmaceuticals and healthcare sector, places utmost importance on the safety and quality of the products, as they directly impact the health of consumers. Therefore, the company refrains from reusing any materials or chemicals in its manufacturing process. The Company adheres to EPR regulations by implementing plastic take-back and recycling initiatives.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

- (a) Reclaimed end of life products are collected at central authorized collection site and sent to co-processing for energy recovery.

- (b) Plastic packaging material is covered under EPR of Plastic Waste Management Rules

	FY2024-25			FY2023-24		
	Reused	Recycled	Safely Disposed	Reused	Recycled	Safely Disposed
Plastics (including packaging) – EPR collections (MT)	---	9316.53	---	---	8581.75	98.9 (Energy Recovery)
E-waste (MT)	---	---	---	---	---	---
Hazardous waste (MT)	---	---	335 (Co-processing)	---	---	311 (Co-processing)
Other waste (MT)	---	---	---	---	---	---

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Considering the nature of its business, in pharmaceuticals and consumer wellness, the company does not reclaim products for reuse or recycling. However, it ensures the safe disposal of products at the end of their lifecycle. The plastic packaging materials are covered under the EPR of the Plastic Waste Management Rules.

PRINCIPLE 3: BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS ESSENTIAL INDICATORS

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No.(D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Employees											
Male	21316	21316	100%	21316	100%	0	0	21316	100%	0	0
Female	1967	1967	100%	1967	100%	1967	100%	0	0	1967	100%
Total	23283	23283	100%	23283	100%	1967	8%	21316	92%	1967	8%
Other than Permanent Employees											
Male	35	0	0%	0	0%	0	0%	0	0%	0	0%
Female	12	0	0%	0	0%	0	0%	0	0%	0	0%
Total	47	0	0%	0	0%	0	0%	0	0%	0	0%

1. b. Details of measures for the well-being of workers:

Category	% Of Workers Covered By										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No.(D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Employees											
Male	4381	4381	100%	4381	100%	0	0	4381	100%	0	NA
Female	253	253	100%	253	100%	253	100%	0	NA	253	100%
Total	4634	4634	100%	4634	100%	253	5%	4381	100%	253	5%
Other than Permanent Workers											
Male	4734	0	0%	0	0%	0	0%	0	0%	0	0%
Female	799	0	0%	0	0%	0	0%	0	0%	0	0%
Total	5533	0	0%	0	0%	0	0%	0	0%	0	0%

1. c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024-2025	FY 2023-2024
*Cost incurred on wellbeing measures as a % of total revenue of the company	0.38%	0.44%

* Permanent Employees - India Operations

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year:

Sl. No.	Benefits	FY 2024-25 (Current FY)			FY 2023-24 (Previous FY)		
		No. of employees covered as a % of total employees	No. of workers covered as a % of total worker	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total worker	Deducted and deposited with the authority (Y/N/N.A.)
1	Provident Fund	100%	100%	Y	100%	100%	Y
2	Gratuity	100%	100%	Y	100%	100%	Y
3	ESI	3.30%	53%	Y	4%	45%	Y
Others- please specify							
4	NPS	3.00%	NA	Y	NA	NA	NA
5	Superannuation	0.16%	NA	Y	NA	NA	NA
6	Social Security	100%	100%	Y	100%	100%	Y

The company also provides additional social security benefits i.e. National Pension Scheme, Superannuation to the consumer wellness and applicable foreign business locations.

3. Accessibility of workplaces: Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard

Yes, the company's premises and offices are equipped with ramps to facilitate easy access for differently abled employees and workers. The offices are situated either on the ground floor or feature elevators and amenities designed for people with disabilities. Additionally, the company provides various facilities to create a more comfortable and supportive working environment for persons with disabilities.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, the company is an equal opportunity employer. The company ensures that all job applicants are treated fairly and does not support any form of discrimination. The company adheres to all relevant employment laws and does not treat individuals unfairly based on their race, colour, gender, age, nationality, religion, sexual orientation, gender identity or expression, marital status or disability. To strengthen its commitment to enhancing employment opportunities for people with disabilities, the company has identified and designated specific roles/tasks exclusively for certain categories of differently abled employees. Please refer to the following link: [Pharmaceutical Careers Opportunities | Pharma jobs at Zydus Group \(zyduslife.com\)](https://www.zyduslife.com/Pharmaceutical-Careers-Opportunities)

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	86%	86%	100%	100%
Total	99%	99%	100%	100%

*No instance of availment of parental leave

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

Category	Yes/No	Details of the mechanism in brief
Permanent Workers	Yes	Following mechanisms are in place to receive and address grievances of employees and workers: A) The company has an internal employee support and helpdesk system called Zydus Connect 2.0 with following features: I. Through this helpdesk, employee can raise their queries which are responded to within the defined timeline. II. Employee can reach out to Group HR Head (CHRO) through this system and raise concerns and queries directly to him and concerned head of the business vertical. III. It has mechanism for collecting feedback from employees on various matters. B) The company has a whistleblower policy, approved by the board of directors, allowing employees to report any concerns regarding unethical conduct, actual or suspected fraud, or violation of the company's code of conduct or ethics policy to management. It ensures adequate safeguards against any form of victimization of employees who avail the mechanism and provides direct access to the Chairman of the Audit Committee in exceptional circumstances. For more details on the mechanism, kindly refer following link : https://www.zyduslife.com/public/pdf/companypolicy/Whistle-Blower-Policy.pdf
Other than Permanent Workers	Yes	
Permanent Employees	Yes	
Other than Permanent Employees	Yes	

7. Membership of employees and worker in association(s) or Unions recognized by the listed entity:

Category	FY 2024-25 (Current FY)			FY 2023-24 (Previous FY)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / Workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	23283	0	0%	21649	8	0.04%
- Male	21316	0	0%	19840	5	0.03%
- Female	1967	0	0%	1809	3	0.17%
Total Permanent Workers	4634	1073	23%	5272	700	13%
- Male	4381	1073	24%	5046	664	13%
- Female	253	0	0%	226	36	16%

8. Details of training given to employees and workers:

Category	FY 2024-2025 Current Financial Year					FY 2023-2024 Previous Financial Year				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	21316	8476	40%	8861	42%	19840	7639	39%	5004	25%
Female	1967	1700	86%	1320	67%	1809	1560	86%	1809	100%
Total	23283	10176	44%	10181	44%	21649	9199	42%	6813	31%
Workers										
Male	4381	1849	42%	1772	40%	5046	1888	37%	3047	60%
Female	253	132	52%	89	35%	226	226	100%	82	36%
Total	4634	1981	43%	1861	40%	5272	2114	40%	3129	59%

9. Details of performance and career development reviews of employees and workers:

Category	FY 2024-25 (Current FY)			FY 2023-24 (Previous FY)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who had a career review (B)	%(B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who had a career review (D)	%(D/C)
Permanent Employees						
Male	21316	21316	100%	19840	19840	100%
Female	1967	1967	100%	1809	1809	100%
Total	23283	23283	100%	21649	21649	100%
Permanent Workers						
Male	4381	4381	100%	5046	5046	100%
Female	253	253	100%	226	226	100%
Total	4634	4634	100%	5272	5272	100%

10. Health and safety management system:

a.	Whether an occupational health and safety management system has been implemented by the entity? (Yes/No)	Yes, occupational health and safety management system has been implemented by the company.
a.1	What is the coverage of such system?	The coverage of such systems is 100% across the company
b.	What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?	Processes like PSSR (Pre-Start-up Safety Review), HAZOP (Hazard operating procedures) HIRA (Hazard Identification Risk Assessment), Risk Assessment, Third Party Safety Audit, Safe Work Permit System are in place to identify the work-related hazards and risks related to routine and non-routine activities.
c.	Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Yes/No)	Yes, the workers are part of safety committee meeting as per statute, where workers report the work-related hazards and mitigation measures are discussed and implemented.
d.	Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)	Yes, the company has necessary arrangements to meet non-occupational medical requirements for employees and workers (e.g. onsite doctor / Occupational Health Centre (OHC) clinic to attend to all medical queries). Also, a medical insurance policy is provided to all permanent employees and workers.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2024-25 (Current FY)	FY 2023-24 (Previous FY)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.07	0.02
	Workers	0.35	0
Total recordable work-related injuries	Employees	4	1
	Workers	4	0
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

In response to the rise in safety incidents, the company conducted independent investigations to identify systematic root causes and implemented appropriate engineering controls across all sites. Risk assessments were reviewed and updated based on investigation outcomes, while a comprehensive electrical safety assessment was carried out in response to incident trends. To address human error, a company-wide Behaviour-Based Safety (BBS) program was launched to strengthen safety culture and proactive risk mitigation. These actions reflect the company's commitment to robust corrective measures and continuous improvement in safety performance.

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

- The company has an EHS Policy displayed at important locations, and training has been conducted for all stakeholders on the EHS policy.
- Adoption and adherence to ISO 45001 (Occupational Health and Safety Management System) requirements.
- Safety Infrastructure, like fire hydrant systems, fire extinguishers, fire alarm systems, and other fire suppression systems, is in place.
- The company has deployed engineering controls and mitigation measures like sensor-based machine interlocks, guards for moving parts of machines based on hazard identification and risk assessment of activities at workplaces.
- Regular training is provided to employees and workers for performing various activities in a safe manner, and applicable personal protective equipment (PPE) is made available to employees and workers.
- Workplace monitoring is conducted to ensure maintenance of a safe working environment at the workplace as per statutory requirements.
- Pre-employment and periodical medical examinations of employees and workers are conducted as per the statute.

13. Number of Complaints on the following made by employees and workers:

Topic	FY 2024-25 (Current FY)			FY 2023-24 (Previous FY)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	0	0	0	---
Health & Safety	0	0	0	0	0	---

14. Assessments for the year:

Topic	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%*
Working Conditions	100%*

* India operations

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

The company has implemented corrective actions to address significant risks/concerns arising from assessments of health and safety practices and working conditions like:

- (a) Installation of safety interlocks to the machines, motion sensors, and interlocks for moving equipment like blenders, compressor machines, and packing machines.
- (b) Training on safe working practices provided to all shop floor employees.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

- c. Employees (Yes/No): Yes
- d. Workers (Yes/No): Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The company ensures that vendors provide acknowledgements under the Supplier Code of Conduct, confirming their commitment to comply with all applicable laws and regulations.

3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

Category	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	Current FY 25	Previous FY 24	Current FY 25	Previous FY 24
Employees	0	0	0	0
Workers	0	0	0	0

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No).

Yes, the company provides counselling to employees approaching retirement regarding financial planning and has a retention policy for selected roles and positions.

5. Details on assessment of value chain partners:

Topic	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	39%*
Working Conditions	39%*

*The value chain partners comprise of vendors/suppliers providing raw materials API excipients, packaging materials, Indirect materials and Intermediate solvent to the company.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

No significant risks/concerns were observed from assessments of health and safety practices at the workplaces of value chain partners.

PRINCIPLE 4: BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS ESSENTIAL INDICATORS

1. Describe the processes for identifying key stakeholder groups of the entity:

The company identifies stakeholders through a structured process involving interactions across various management levels, benchmarking against competitors and interactions with external stakeholders. This process was an integral part of the materiality assessment carried out, in alignment with global reporting standards such as the Global Reporting Initiative (GRI) and the National Guidelines for Responsible Business Conduct (NGRBC).

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group:

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes / No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Patients	No	- Website - Clinical studies - Pharmacovigilance	Need Basis	The company interacts with patients to understand their expectations and experience with the products. Also, the company engages with patients to conduct tests for clinical studies of pharmaceutical products.
Channel Partners	No	- Meetings - Field visits - Digital Communication	Need Basis	Channel partners play a vital role in business continuity by ensuring product accessibility across different geographies. The company interacts with them to formulate and strategize distribution of products and monitor the operations on a regular basis.
Suppliers	No	- Meetings - Supplier audit - Facility visits	Need Basis	The company regularly communicates with the suppliers to ensure quality, safety and timely availability of input materials and other critical services to ensure continuity of business operations. The company conducts regular audit of the suppliers of critical materials and services to ensure that suppliers abide by the supplier code of conduct.
Healthcare Professionals	No	- Meetings - Field visits	Need Basis	Healthcare professionals serve as key opinion leaders and provide important feedback to enable the company in understanding the market outlook, patients' feedback, their requirements and expectations from the. This also includes any adverse or negative feedback which can be detrimental to the patient health.
Government and Regulators	No	- Meetings - Conferences - Facility visits by Government / Regulatory officials - Official Communications - Statutory Publications	Need Basis	The company is a responsible law-abiding organization and ensures 100% compliance to all applicable regulations. With increased focus on issues pertaining to Environment, Social and Governance, the company regularly communicates with government representatives and regulatory bodies to have latest understanding of regulations which can impact the operations and stakeholders of the company.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes / No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Industry Associations	No	- Industry Conferences - Representations on policy matters	Need Basis	The company interacts with Government / Regulatory Authorities on any public policy framework through apex industry institutions like Indian Pharmaceutical Alliance, Federation of Indian Chambers of Commerce & Industry (FICCI), The Indian Drug Manufacturers Association, Pharmexcil and Gujarat Chamber of Commerce & Industry (GCCl) etc. The company puts forth its views on new standards or regulatory developments pertaining to the pharmaceutical and healthcare manufacturing industry, broadly in the areas concerning access to medicines and other products, best practices, corporate governance, CSR etc.
Shareholders and Investors	No	- Meetings - Investor Conferences - AGM - Website	Quarterly/ need basis	The company interacts with its shareholders and investors to share regular update on its strategies, financial and operational performance, significant events and achievements, key risks and challenges and future roadmap for growth. With increased focus on ESG parameters, the company intends to include more parameters pertaining to ESG indicators during its interaction with investors.
Employees	No	Employee Engagement Survey, Emails, Calls, Grievance mechanism One-to-one connect	Need Basis	The company interacts with its employees to share performance and career development reviews and takes inputs and feedback from employees to create a healthy working environment. The company has an intranet portal for employees wherein all data pertaining to employment can be accessed and employees can also raise their queries and concerns for further action.
Communities	Yes	Visit to community sites, digital channels	Regularly	The company engages with the community by understanding and serving needs of the communities. Through its Section 8 wholly owned subsidiary company in the name of Zydus Foundation, the company has brought world-class medical education to the rural interiors of Gujarat by constructing and setting-up best in class medical college and hospital at Dahod. The company provides to all patients free of cost, consultation and treatment, including OPD, indoors, all investigations, surgeries, anesthesia, oral medicines, injectables and food. Along with this, the company engages with the community to sensitize them on various health issues by conducting various awareness camps.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes / No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Consumers	No	Digital Platforms, Advertisements, Newspaper, Consumer feedback division to address queries and grievances, Website.	Continuous	Product quality and safety, information on products, consumer satisfaction and feedback, complaints and queries.

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The company maintains multiple channels for discussion and feedback with its internal stakeholders before implementing any significant decisions that may impact them. Additionally, it actively engages with concerned stakeholders to assess the economic, environmental and social impacts of its operations on them and gathers their feedback and suggestions. Such feedback and suggestions are taken up for due consideration and action.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, the company has conducted an exercise to create a materiality matrix to identify material issues with respect to environment, social and governance aspects, which involved engagement with stakeholders. As a result of this exercise, the following topics were identified as having high importance, both for the company and for stakeholders:

- Climate Change (Greenhouse Gas Emission)
- Waste Management
- Product Quality & Safety
- Human Capital Welfare and Development
- Access to healthcare
- Responsible Marketing, Selling Practices & Product Labelling
- Corporate Governance
- R&D and Innovation

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

As part of its CSR initiatives, the company actively engages with vulnerable and marginalized communities, striving to build healthier and happier societies globally. Zydus Srishti, the company's CSR programme, centers around key focus areas, including access to healthcare, quality education, skill development, research and promoting a sustainable environment.

For further details please refer to Page No. 185 of the Integrated Annual Report FY2024-25.

PRINCIPLE 5: BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS ESSENTIAL INDICATORS

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Total (A)	No. of employees / workers covered (B)	% (B/A)	Total (C)	No. of employees / workers covered (D)**	% (D/C)**
Employees						
Permanent	23283	5011	22%	21649	4094	19%
Other than permanent	47	43	91%	73	44	60%
Total Employees	23330	5054	22%	21722	4138	19%
Workers						
Permanent	4634	1450	31%	5272	1284	24%
Other than permanent	5533	5003	90%	2481	2317	93%
Total Workers	10167	6453	63%	7753	3601	46%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2024-2025 Current Financial Year					FY 2023-2024 Previous Financial Year				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	23283	0	0%	23283	100%	21649	0	0%	21649	100%
Male	21316	0	0%	21316	100%	19840	0	0%	19840	100%
Female	1967	0	0%	1967	100%	1809	0	0%	1809	100%
Other than Permanent	47	0	0%	47	100%	73	0	0%	73	100%
Male	35	0	0%	35	100%	52	0	0%	52	100%
Female	12	0	0%	12	100%	21	0	0%	21	100%
Permanent	4634	0	0%	4634	100%	5272	0	0%	5272	100%
Male	4381	0	0%	4381	100%	5046	0	0%	5046	100%
Female	253	0	0%	253	100%	226	0	0%	226	100%
Other than Permanent	5533	0	0%	5533	100%	2481	0	0%	2481	100%
Male	4734	0	0%	4734	100%	2317	0	0%	2371	100%
Female	799	0	0%	799	100%	164	0	0%	164	100%

3. a. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number*	Median remuneration/ salary/ wages of respective category (₹)	Number	Median remuneration / salary / wages of respective category (₹)
Board of Directors (BoD)	7	33,00,000/-	2	33,00,000/-
Key Managerial Personnel	4	7,86,60,153/-	0	
Employees other than BoD and KMP (Permanent Employees)	24805	5,65,112/-	1502	5,96,874/-
Other than Permanent Employees				
Workers	228	9,37,738/-	35	10,01,149/-

*India operations only

3. b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2024-2025	FY 2023-2024
*Gross wages paid to females as % of total wages	5.45%	5.23%

* India Operations

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The company believes that business can develop in a society where human rights are protected and respected. Committed to this principle, the company ensures that human rights are upheld across all business activities and provides development opportunities as well as positive feedback to employees, thereby encouraging them to realize their full potential. The company endeavors to provide fair compensation and favorable working conditions; maintain high ethical standards in interactions with its employees, and ensure adherence to applicable legal and regulatory standards. To prevent human rights violations and resolve grievances effectively, the company has established multiple mechanisms. Employees can raise their concerns directly with the Group HR Head through Zydus Connect 2.0. Additionally, the company has a comprehensive Human Rights Policy and a Whistleblower Policy, both accessible on the company's website. The contact details of the POSH (Prevention of Sexual Harassment) contact point are prominently displayed across all workplaces. The details of human rights and whistleblower policy can be found from following link: <https://www.zyduslife.com/companypolicy>

6. Number of Complaints on the following made by employees and workers:

Category	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	8	0		2	0	
Discrimination at workplace	0	0		0	0	
Child Labour	0	0		0	0	
Forced Labour/Involuntary Labour	0	0		0	0	
Wages	0	0		0	0	
Other human rights related issues	0	0		0	0	

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

Safety Incident/Number	FY 2024-25 (Current FY)	FY 2023-24 (Previous FY)
Total Complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	08	02
Complaints on POSH as a % of female employees/ workers	0.26	0.09
Complaints on POSH upheld	08	02

At Zydus Lifesciences, we are committed to creating a safe and respectful workplace by embedding the principles of the POSH Act into our culture. Over the past year, we enhanced our POSH framework through extensive awareness sessions for over 4,000 employees, a Train-the-Trainer program to build internal champions, and capacity-building for Internal Committee members. As a result, POSH case reporting increased from 2 to 8—an encouraging sign of greater awareness and trust in our systems. To sustain this momentum, we are launching refresher trainings, installing awareness materials across locations, Skip-level meetings, open houses by senior HR and leadership teams and establishing a task force of POSH Champions. These proactive measures aim to drive early reporting, prevent escalation, and reinforce our zero-tolerance stance on harassment. Zydus remains fully committed to upholding the spirit of the POSH Act—not just as a compliance mandate but as an enabler

of a safe, respectful, and inclusive culture. We are confident that with these measures, the reporting trend will stabilise over time while our culture of trust and openness will continue to strengthen. We stand by our principle: awareness and action today will ensure fewer incidents tomorrow.

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The company is committed to maintaining a harassment-free workplace, including sexual harassment, and upholds zero tolerance toward such unacceptable conduct. It actively encourages employees to report any harassment concerns and ensures prompt action on complaints related to harassment or any unwelcome behavior. Dedicated committees are established at various locations to inquire into complaints of sexual harassment and recommend appropriate actions wherever necessary. The company ensures that employees who raise concerns about sexual harassment are protected from reprisal. Any reprisal will be subject to disciplinary action. It also ensures that victims or witnesses are not subjected to discrimination or mistreatment during the complaint resolution process. The company has a mechanism in place to conduct mandatory POSH training for employees, with clear consequences outlined within a well-defined governance structure. Additionally, a copy of the POSH policy is provided to and signed off by all employees.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes

10. Assessments for the year: –

		% of your plants and offices that were assessed (by entity or statutory authorities or third parties)	
Child labor	100%	I.	The company has a strong and structured vigil mechanism in line with various governing policies and procedures.
Forced/involuntary labor	100%	II.	The company, being a responsible law-abiding organization, ensures 100% compliance to all applicable laws and regulations.
Sexual harassment	100%	III.	The company conducts internal audit/visit to various sites to ensure 100% adherence to laws pertaining to child labor, forced / involuntary labor, sexual harassment, discrimination at workplace and minimum wages.
Discrimination at workplace	100%	IV.	Also, the company ensures zero tolerance to violation of any of the aforesaid issues.
Wages	100%		
Others – please specify			

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

No significant concerns were identified.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

All the human rights complaints are taken seriously and handled confidentially. During FY2024-25 no complaint regarding human rights was reported.

2. Details of the scope and coverage of any Human rights due diligence conducted.

We are striving to identify adverse human rights risks in all our operations and value chains to prioritise the impact of our business on stakeholders, like our employees, women, children, workers, third-party employees and local community members. Our efforts encompass defining a company-wide due diligence process for identifying risks in our own operations, labor standards, health and safety and environmental practices, as well as corporate ethics. As part of the broader processes of internal checks and balances, we have started a periodic and systematic review of our potential human rights risks to prevent any major or critical issues from becoming a real threat to the organization in the future. This periodic due diligence is being conducted by a cross-functional team members on aspects like Forced Labor, Child Labor, Human Trafficking, discrimination, freedom of association, safe working conditions, fair wages etc. Moreover, even the supply chain partners are required to share signed documents with Zydus as proof of compliance with the aforementioned Human Rights Due Diligence parameters. We also focus on our stakeholders by ensuring their rights and well-being are protected throughout our operations and value chain partners.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Child labour	
Forced/involuntary labour	
Sexual harassment	
Discrimination at workplace	39%*
Wages	
Others – please specify	

* The value chain partners comprise of vendors/suppliers providing raw materials APIs, intermediates, excipients, packaging materials and indirect materials to the company.

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

No such corrective actions have been identified pursuant to assessment of value chain partners.

PRINCIPLE 6: BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT ESSENTIAL INDICATORS

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter (In Gigajoules)	FY 2024-2025	FY 2023-2024
From renewable sources		
Total electricity consumption (A)	3,06,938.64	1,56,913.54
Total fuel consumption (B)	11,02,802.79	10,53,857.36
Energy consumption through other sources (C)	---	---
Total energy consumption (A+B+C)	14,09,741.43	12,10,770.90
From non-renewable sources		
Total electricity consumption (D)	9,62,567.53	9,19,313.04
Total fuel consumption (E)	7,97,843.27	7,53,280.52
Energy consumption through other sources (F)	---	---
Total energy consumed from non-renewable resources (D+E+F)	17,60,410.80	16,72,593.56
Total energy consumed (A+B+C+D+E+F)	31,70,152.24	28,83,364.46
Energy intensity per rupee of turnover (Total energy consumption/revenue in million rupees)	13.64	14.75
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations in million adjusted for PPP)	*281.80	**301.36
Energy intensity in terms of physical output (GJ/MT)	31.97	34.33
Energy intensity (optional) – the relevant metric may be selected by the entity	N.A.	N.A.

Calculation tool used: US Energy Information Administration (EPA).

*PPP FY24-25: 20.66INR/INT.USS ; <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

**PPP FY23-24: PPP@20.43INR/INT.USS ; <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) : Yes
If yes, name of the external agency.: M/s Intertek India Private Limited

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	5,28,792.40	5,49,628.53
(ii) Groundwater	10,92,465.55	9,42,713.88
(iii) Third party water	7,76,624.71	5,72,073.88
(iv) Seawater / desalinated water	-	-
(v) Tanker Water	89,724.90	2,64,506.30
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	24,87,607.56	23,28,922.59
Total volume of water consumption (in kilolitres)	24,87,607.56	23,28,922.59
Water intensity per rupee of turnover (Water consumed / turnover) (kl per revenue in million rupees)	10.70	11.91
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations in million adjusted for PPP)	*221.13	**243.41
Water intensity in terms of physical output (KL/ MT)	25.09	27.73
Water intensity (optional) – the relevant metric may be selected by the entity	N.A.	N.A.

*PPP FY24-25: 20.66INR/INT.USS ; <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

**PPP FY23-24: PPP@20.43INR/INT.USS ; <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) : Yes, If yes, name of the external agency.: M/s Intertek India Private Limited

4. Provide the following details related to water discharged:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water	---	---
- No treatment	---	---
- With treatment – please specify level of Treatment	---	---
(ii) To Groundwater	---	---
- No treatment	---	---
- With treatment – please specify level of Treatment	---	---
(iii) To Seawater	---	---
- No treatment	---	---
- With treatment – please specify level of Treatment	---	---
(iv) Sent to third-parties	---	---
- No treatment	---	---
- With treatment – please specify level of Treatment	Primary Treatment: 2,64,555 Tertiary Treatment: 2,07,088	Primary Treatment: 3,20,011 Tertiary Treatment: 1,50,392
(v) Others	Reuse in utility and gardening	Reuse in utility and gardening
- No treatment	---	---
- With treatment – please specify level of Treatment	Tertiary Treatment: 9,54,348	Tertiary Treatment: 8,09,324
Total water discharged (in kilolitres)	14,25,991	12,79,727

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) : Yes, If yes, name of the external agency.: M/s Intertek India Private Limited

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

The company has taken proactive measures to implement Zero Liquid Discharge ("ZLD") across its operations. The manufacturing units are equipped with reverse osmosis(RO) and ultra-filtration (UF) systems, which fall into this category. In addition to primary and secondary treatment, the tertiary Effluent Treatment Plant (ETP) provides further purification of the wastewater generated within the company's premises. The treated water is utilized for non-process purposes such as horticulture, road cleaning, toilet flushing, and green belt development, thereby reducing overall water consumption.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Nox	MT	29.36	29.05
Sox	MT	46.43	47.15
Particulate matter (PM)	MT	44.19	42.46
Persistent organic pollutants (POP)	NA	---	---
Volatile organic compounds (VOC)	NA	---	---
Hazardous air pollutants (HAP) HCL (Ammonia)	---	---	---
Others – please specify	---	---	---

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	56,459.38	65,458.74
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	tCO ₂ e	2,05,171.57	1,92,010.23
Total Scope 1 and Scope 2 Emissions	tCO ₂ e	2,61,630.95	2,57,468.97
Total Scope 1 and Scope 2 emissions (tCO ₂ e/ revenue in million rupees)	tCO ₂ e/million ₹ revenue	1.13	1.32
Total Scope 1 and Scope 2 emission intensity per crore of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)		*23.26	**26.91
Total Scope 1 and Scope 2 emission intensity in terms of physical output (tCO₂e/ MT)		2.64	3.07
Total Scope 1 and Scope 2 emission intensity (optional)– the relevant metric may be selected by the entity	tCO ₂ e/₹	N.A.	N.A.

Calculation tools used are United State Environmental Protection Agency (EPA) and Central Electrical Authority (CEA), Govt. of India.

*PPP reference value for FY24-25: [PPP@20.66INR/INT.USS](https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND) , PPP reference link for FY24-25: <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

**PPP reference value for FY23-24: [PPP@20.43INR/INT.USS](https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND) , PPP reference link for FY23-24: <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC/IND>

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N): Yes, If yes, name of the external agency.: M/s Intertek India Private Limited

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide detail

Sl. No.	Encon Measure	Electrical Energy Savings (MWh)	Fuel Savings (MT)	GHG Reduction (tCO2e)
1.	Reduction in GHG emissions by purchase of renewable energy	83,388		60,873
2.	Reduction in GHG emissions by generation of onsite solar energy	697		508
3.	Reduction in energy consumption by process improvement/modification	829	128	1,048
4.	Reduction in energy consumption by new technology adoption	941	--	687
Total		85,855	128	63,116

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	3,133.17	2,854 .98
E-waste (B)	49.08	32 .35
Bio-medical waste (C)	455.29	487 .27
Construction and demolition waste (D)	45.00	-
Battery waste (E)	23.16	22 .68
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	18,714.09	17,084 .93
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	9,685.44	8,120 .55
Total (A + B + C + D + E + F + G + H)	32,105.23	28,602 .76
Waste intensity per rupee of turnover (Total waste generated / Revenue in million rupees)	0.14	0 .15
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	2.85	2 .99
Waste intensity in terms of physical output (Waste in MT/ production on MT)	0.32	0 .34
Waste intensity (optional) –the relevant metric may be selected by the entity		
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of Waste		
(i) Recycled	21,106.96	18,026.52
(ii) Re-used	---	---
(iii) Other recovery operations	---	---
Total	21,106.96	18,026.52
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Other Hazardous Waste		
(i) Incineration	1,075.36	1,159 .18
(ii) Landfilling	3,860.14	3,755 .64
(iii) Other disposal operations		
Co Processing	3,927.49	3,355 .18
Pre Processing	2,064.41	1,134 .66
Total	10,927.40	9,404 .66

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: Yes, M/s Intertek India Private Limited

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The company has implemented various waste management practices in compliance with applicable rules and regulations, including:

- a) Plastic waste is retrieved from the market under EPR liability by an authorized vendor for recycling and energy recovery.
- b) Hazardous waste is sent for safe disposal to an authorized vendor for landfill, incineration and co-processing at a cement kiln.
- c) E-Waste and Battery waste are directed to an approved recycler for safe disposal.
- d) Bio - Medical waste is sent for incineration to authorized vendor for safe disposal.
- e) Non-Hazardous waste is sent to approved vendor for safe disposal.

The company has adopted following steps to reduce the use of toxic and hazardous chemicals in products and manage the subsequent waste:

- a) Establishing a culture of sustainability across the labs and sensitizing the mindsets to ensure that new medicines are designed and developed in the environmentally sustainable way possible.
- b) Operating R&D functions on the following sustainability parameters for existing and new products:
 - Optimize water consumption
 - Reduce wastewater generation
 - Reduce hazardous waste
 - Continuously working towards 4Rs (Reduce, Reuse, Recycle, and Recover)
- c) Reducing reliance on solvents during product development itself so that lesser quantities of solvents are required to be used at the time of scale up.
- d) Ongoing efforts to improve yield and ultimately reduce waste from processes.

Standard operating procedures (SOPs) are followed for the segregation and safe disposal of waste through authorized Treatment, Storage, and Disposal Facilities (TSDFs). In addition, waste is sent for co-processing to cement industries, as an Alternative Fuel Resource (AFR), thereby contributing to the conservation of natural resources.

To further enhance its environmental stewardship, the company has adopted innovative solutions for product packaging, such as:

- Introducing a new printing technology that enables the use of 100% recyclable, plastic-free cartons for Tablets
- Reducing outer pack size by 90% for Injectable products
- Replacing *PVC-PVDC blister packs with lighter triple-laminated pouches for Transdermal products
- Redesigning cartons for vials to incorporate a single packaging insert and a paperboard partition for Vaccines

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
1.	Zero	Zero	Entity operations /offices are not located around ecologically sensitive areas.

*PVC: Polyvinyl Chloride

PVDC: Polyvinylidene Chloride

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
During the current FY 2024-25, the company has not initiated any projects for which such environmental impact assessment is required to be undertaken as per the applicable laws.					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format.

S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
1	The company is compliant with all applicable legal regulations.	Not Applicable.	Not Applicable.	

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area
 - a. Vadodara (Padra) *
 - b. Ahmedabad – Corporate Office *
- (ii) Nature of operations –API Operations at Padra and Administrative office premises at Ahmedabad
- (iii) Water withdrawal, consumption, and discharge in the following format:

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	---	---
(ii) Groundwater	2,59,173	2,25,890
(iii) Third party water	---	---
(iv) Seawater / desalinated water	---	---
(v) Others	---	---
Total volume of water withdrawal (in kilolitres)	2,59,173	2,25,890
Total volume of water consumption (in kilolitres)	2,59,173	2,25,890
Water intensity per rupee of turnover (Water consumed (KL)/ revenue in million rupees)	1.12	1.16
Water intensity in terms of physical output (KL/MT)	2.61	2.69

* As per Central Ground Water Authority (CGWA), Govt. of India

Parameter	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water	---	---
- No treatment	---	---
- With treatment – please specify level of treatment	---	---
(ii) Into Groundwater	---	---
- No treatment	---	---
- With treatment – please specify level of treatment	---	---
(iii) Into Seawater	---	---
- No treatment	---	---
- With treatment – please specify level of treatment	Tertiary Treatment	Tertiary Treatment
(iv) Sent to third parties	---	---
- No treatment	---	---
- With treatment – please specify level of treatment	Tertiary Treatment 81,518	Tertiary Treatment 72,602
(v) Others	Reuse in utility and gardening	Reuse in utility and gardening
- No treatment	---	---
- With treatment – please specify level of treatment	Tertiary Treatment: 42,892	Tertiary Treatment: 59,754
Total water discharged (in kilolitres)	1,24,410	1,32,356

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency: No

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2024-25 (Current Financial Year)	FY 2023-24 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent (tCO ₂ e)	66,915.74	51,363.48
Total Scope 3 emissions per rupee of turnover	(tCO ₂ e per million ₹ revenue)	0.29	0.26
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	N.A.	N.A.	N.A.

Scope: O3 emissions accounted for the following categories as per GHG protocol:

Category 2 (Capital Goods) : Spend Based Method

Category 6 (Business Travel) : Spent Based Method

Category 9 (Downstream Transportation and Distribution) : Spend Based Method

Category 5 (Waste Generated in Operations) : Waste Specific Method

Category 7 (Employee Commuting) : Distance Specific Method

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: No

3. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Increase of renewable energy in the energy mix instead of grid grey energy	a) Generation of solar energy by installation of a solar plant. b) Utilization of hybrid power (Wind & Solar) through open access by power purchase agreement. c) Replacement of coal with biomass briquet as primary fuel to generate steam in boiler.	a) Reduction in carbon footprint b) Energy security for future stringent rules on grey power
2	Reduce impact on effluent discharge and water conservation	Air Handling Unit (AHU) condensate is collected in separate tank and is used for the gardening.	Reduction in consumption of freshwater and discharge of effluent.
3	Resource efficiency	ETP sludge is routed from landfill to cement industry for co-processing.	Eco-friendly disposal of waste.
4	Improvement in energy efficiency	Reduction in coal consumption by improving boiler efficiency through better steam-to-fuel ratio. Increase of co processing to recover the energy content from off-specification and expired products to cement industry instead of incineration.	Fuel saving: 128MT Coal GHG reduction: 238tCO ₂ e Disposal of waste in an eco-friendly manner. Creating energy value from waste
5	Extended Producer Responsibility for plastic packaging liability	Plastic packaging is recycled and sent for energy recovery.	Sustainable disposal of the plastic packaging material.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes, the company has established a business continuity and disaster recovery plan across all its locations to safeguard its resources in the event of any emergency or exigency. This continuity plan enables the company to sustain and adapt in situations that arise from any natural calamity or manmade disaster or an unprecedented event that could disrupt business activities. The company regularly reviews and modifies this plan by incorporating learnings and observations from past disruptions faced in unprecedented situations, such as cyclones, floods, landslides, pandemics etc. The company's risk management plan aims at minimizing the impact of such disasters on the business operations by periodic assessment of their likelihood and potential effects, while also developing appropriate mitigation strategies. Additionally, the company has taken a business interruption insurance policy to compensate for loss of profit that may occur due to disruptions from natural disasters.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

Zero adverse impact during reporting year FY 2024-25.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impact:

39%

8. How many Green Credits have been generated or procured:

- a. By the listed entity : Nil
- b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners : Nil

PRINCIPLE 7: BUSINESSES WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT**Essential Indicators****1. a) Number of affiliations with trade and industry chambers/ associations.**

The company is associated with fourteen trade and industry chambers/associations

b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. no	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Indian Pharmaceutical Alliance	National
2	Federation of Indian Chambers of Commerce and Industry ("FICCI"),	National
3	The Indian Drug Manufacturers Association	National
4	Indian Pharmacopeia Commission	National
5	Indian Pharmaceutical Association	National
6	The Confederation of Indian Industry	National
7	All India Food Processors' Association	National
8	Protein Foods and Nutrition Development Association of India.	National
9	International Market Assessment India Private (IMA)	National
10	Indian Beauty & Hygiene Association	National
11	The Advertising Standards Council of India	National
12	Pharmexcil, Hyderabad	State
13	Gujarat Chamber of Commerce & Industry ("GCCCI").	State
14	Ahmedabad Management Association	State
15	Indian Pharmaceutical Research & Innovation by UP govt.	State

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities

Not Applicable as there were no issues or any adverse order related to anti-competitive conduct by the company during the FY 2024-25.

Leadership Indicators**1. Details of public policy positions advocated by the entity**

S. no	Public policy advocated	Method resort for such advocacy	Whether the information is available in public domain? (Yes/No)	Frequency of review by board (Annually/ Half yearly/ Quarterly/ Other-please specify)	Web Link, if available
The company engages with various stakeholders such as industry chambers, associations, governments, and regulators, to offer insights for the development and execution of public policies. This engagement, guided by principles of commitment, integrity, and transparency, prioritizes the interests of all stakeholders. The methods employed include participation in meetings, conferences, official communications, and engagement as needed.					

PRINCIPLE 8: BUSINESSES SHOULD PROMOTE INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT. ESSENTIAL INDICATORS
1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

During FY 2024-25, SIA was conducted by an independent agency, M/s SoulAce Consulting Pvt Ltd and the details of the assessment can be found from the following link : <https://www.zyduslife.com/public/pdf/Zydus-Impact-Assessment-24.pdf>

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

S. no	Name of project for which R&R is ongoing	State	District	No of Project Affected Families	% of PAF covered by RAR	Amount Paid to PAFs in the FY (in ₹)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community

The company conducts regular visits to local communities to engage with them and address their concerns and issues. The company leverages digital tools to redress any concerns and grievances raised by community members on social media. The company has a dedicated team to monitor online reputational management (ORM) efforts, and to support them, the company has also subscribed to a social listening tool called Locobuzz. The team monitors this tool 4 times a day to respond to any incoming queries. If necessary, the queries are directed to the appropriate department. On working days, the first response turnaround time (TAT) is under 05 hours and on weekends, it is up to 12 hours.

The company also has a mechanism in place for the consumer wellness division to visit and interact with farmers at locations to report their grievances and offer solutions aimed at enhancing the health and hygiene of their livestock. Furthermore, farmer's helpline has been established to resolve issues related to animals' health and feeding.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2024-2025 Current Financial Year	FY 2023-2024 Previous Financial Year
*Directly sourced from MSMEs/ Small producers	11%	14%
*Directly from within India	73%	78%

*The suppliers comprise of vendors/suppliers providing API excipients, raw materials, packaging materials, Indirect materials and Intermediate solvent to the company.

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

Location	FY 2024-2025	FY 2023-2024
Rural	0.00%	0.00%
Semi-urban	6.98%	7.37%
Urban	6.99%	7.25%
Metropolitan	86.02%	85.38%

Leadership Indicators
1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. no	State	Aspirational District	Amount spent (INR)
1	Gujarat	Dahod	6,39,61,000

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No) -

No

- (a) From which marginalized /vulnerable groups do you procure?

N.A.

- (b) What percentage of total procurement (by value) does it constitute?

N.A.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge

No intellectual property was owned or acquired based on traditional knowledge during FY 2024-25.

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

No adverse order in intellectual property related disputes was received wherein usage of traditional knowledge is involved. Hence, not applicable.

6. Details of beneficiaries of CSR Projects.

S. No.	CSR Project	No of persons benefited from CSR Projects	% of beneficiaries from vulnerable and marginalized group
	Please refer pg:185-186 of integrated annual report	4,87,252	100%

PRINCIPLE 9: BUSINESSES SHOULD ENGAGE WITH AND PROVIDE VALUE TO THEIR CONSUMERS IN RESPONSIBLE MANNER ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The company has established procedures for receiving, recording, investigating and responding to the product quality complaints related to drug products, drug substances and saleable intermediates that it manufactures, markets, or distributes.

- Complaints may be received verbally, in writing, through electronic methods like post, fax, e-mail, telephone or in-person, along with samples, photographs or other evidence depicting the defect.
- On receipt, the complaint is logged and acknowledged along with any necessary additional information needed, if any, for further investigation.
- Nature of the complaint is assessed and categorized as critical, major and minor. A preliminary investigation is done as per applicable regulations.
- The investigation is carried out within a stipulated timeframe to determine the root cause, assess the impact, evaluate risks to product quality and patient safety and decide on suitable corrective actions and preventive actions (CAPA).
- Following the investigation, immediate actions may be taken, which could include product recalls, alert notifications to the regulatory agencies, or, suspension of manufacturing of the product etc.
- Response to the complaint is shared with the complainant and waiting time of 60 days is considered to get the feedback from the complainant before the closure of the complaint.
- The company also has established a global pharmacovigilance policy which showcases the company's commitment and efforts towards patient safety.
- For the consumer wellness arm of the company, customers can either write a letter to company's mailing address, or send an email to customercare@zyduswellness.com or call on customer care phone number 18001206868. Contact details are also available on the website of the Company.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information.

As a percentage to total turnover	
Environment and Social parameters relevant to product	100%: There are social parameters relevant to the responsible, safe and prescribed usage of the products.
Safe and responsible usage	100%
Recycling and/or safe disposal	All our products which are expired or damaged and cannot be consumed are taken back from trade and are audited and disposed-off as per the guidelines enumerated in the internal policy and adhering to local laws and rules.

3. Number of consumer complaints

	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Received during the year	Pending resolution at the end of year	Remarks	Received during the year	Pending resolution at the end of year	Remarks
Data privacy	0	0	---	0	0	---
Advertising	0	0	---	0	0	---
Cyber-security	0	0	---	0	0	---
Delivery of essential services	0	0	---	0	0	---
Restrictive Trade Practices	0	0	---	0	0	---
Unfair Trade Practices	0	0	---	0	0	---
Other (Customers)	1567	0	---	1658	0	---

4. Details of instances of product recalls on account of safety issues

	Number	Reason for recall
Voluntary recalls	54	Market complaints – products out of specifications, regulatory recommendations
Forced recalls	0	

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, the company has an internal cybersecurity policy which aims at:

- protecting and maintaining the confidentiality, integrity and availability of information,
- managing the risk of security exposure and compromise,
- assuring a secure and stable IT environment,
- identifying and responding to events involving information asset misuse, loss or unauthorized disclosures,
- monitoring systems for anomalies that might indicate compromise,
- promoting and increasing the awareness of information security.

Further, from a governance perspective, cyber risks are monitored and mitigated through the Risk Management framework implemented under Risk Management Policy, which is available on the website of the company at <https://www.zyduslife.com/public/pdf/companypolicy/Risk-Management-Policy.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

- The products recall made during FY25 has not resulted in any regulatory action against the company.

- The relevant recalls were investigated in detail, identification of root cause and appropriate CAPAs were taken based on findings to prevent the recurrence of such events.
- To ensure cybersecurity, a comprehensive endpoint security solution has been implemented for better protection of data on endpoint devices.
- The comprehensive cybersecurity assessment is in process for understanding the gaps in the current information technology (IT) landscape from the cybersecurity perspective.

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches along with impact - Nil
- b. Percentage of data breaches involving personally identifiable information of customers – Nil
- c. Impact, if any, of the breaches: Nil

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

The information on products and services of the company can be found on the following link <https://www.zyduslife.com/products>; www.zyduswellness.com; www.sugarfree-india.com, www.everyuth.com, www.complanforgrowth.com, www.nutralite.com.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The products carry a detailed information leaflet/labelling regarding the safe use of the product. For the consumer wellness business, the company also enables consumers to make better choices by imparting information to consumers through several media channels, social campaigns, and providing free trials of new products through different platforms.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

- In view of the presence of other brands and companies with similar products in the pharmaceutical sector, it is very unlikely that the discontinuation of any of the products will lead to disruption or discontinuation of essential services to the larger community.
- Additionally, in accordance with the National Pharmaceutical Pricing Authority, the company discloses discontinuation of any scheduled formulation by issuing a public notice for relevant stakeholders as well as to inform the Government at least six months prior to the intended date of discontinuation.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/ No/ Not Applicable)? If yes, provide details in brief.

No.

Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

The marketing team of the company regularly interacts with the consumers, and healthcare professionals and takes their feedback on the products for further improvement, if required.